PIRANHA PROFITS

LESSON 1

Introduction to Price Action Manipulation Trading

BY: ALSON CHEW

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INTRODUCTION TO PRICE ACTION MANIPULATION TRAINING

HOUSE RULES

1. Avoid glass full mindset
    1. Put aside what you learnt about traditional technical and candlestick analysis

1. Take responsibilities for your actions

1. Performance dependent on your own sacrifices towards practicing what is taught

1. Realistic expectations from the start – Trading Plan Construction

1. Earn the right to trade for a living

1. Be patient

1. Win, lose or draw

"A peak performance trader is totally committed to being the best and doing whatever it takes to be the best. He feels totally responsible for whatever happens and thus can learn from mistakes. These people typically have a working business plan for trading because they treat trading as a business." ***Van K. Tharp***

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THOUGHTS ON TRADING FOR A LIVING

The trading profession is largely misunderstood and misperceived. Whether it is stocks, forex, futures or options, it is usually viewed as gambling or risky by the public. In true Warren Buffet style **– "Risk comes from not knowing what you are doing"**

As legitimate professional traders, we are the **masters of risk and our emotions and for every human weaknesses that is counterproductive to trading**, we recognise and control it with our logical mind. We are the true masters of our craft and we strive to churn out profits consistently from the markets.

Similar to other professions, we traders will go through the **learning curve – strategy, risk control and mental toughness in the face of profit and loss.**

The fundamental principles of economics is that **incentive drives behaviour**. It is the incentive of the big boys which drive the price behaviour of any tradable financial products. It is the financial incentive which drives the façade through manipulative price action to deceive the majority of the retailers who fail to rise above their human nature.

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WHO ARE THE MARKET MAKERS?

Function of Market Makers

- ✔ A market maker buys and sells securities at prices it displays in an exchange's trading system for **its own account**
- ✔ Market making enables the smooth flow of financial markets by providing liquidity





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1.) WHAT IS THE DIFFERENCE BETWEEN TRADING AND INVESTING?

- ✔ Goal of investing is to build wealth over an extended period of time
- ✔ Goal of trading is to build wealth consistently over multiple periods of time

2.) WHAT IS THE DIFFERENCE BETWEEN TRADING AND GAMBLING?

- ✔ Trading is a game of probabilities – Edge comes from strategy, risk and money management
- ✔ Gambling is also a game of probabilities - Edge is with the house

A good trader is not necessary a profitable trader

A profitable trader is not necessary a good trader

A good trader will eventually become profitable

A bad trader will eventually become unprofitable

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What is a Stock Exchange?

It is a place where shares of publicly listed companies are issued and traded.



What is a Futures Exchange?

It is a place where standardized futures contracts are being traded.



What is the term Counterparty?

The person taking the other side of the trade.

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What is Derivatives?

A financial instrument whose value is derived in part from the value and characteristics of another financial instrument. Examples of derivatives are options, futures and warrants.

Underlying	Derivatives
Stock	Stock CFD
	Index Futures
	Stock Options
Spot Forex	Forex CFD
	Forex Futures
	Forex Options

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TRADING INSTRUMENTS AND PRODUCTS

1. EQUITIES, STOCKS AND SHARES
2. FUTURES
3. SPOT FOREX
4. Options

1.) EQUITIES, STOCKS AND SHARES

- ✔ U.S EQUITIES
- ✔ SINGAPORE EQUITIES





















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Types of Market Participant

Day trader or Intra-day Trader
Traders who close their trades within one trading session or day.

Position or Swing Trader
A trading method by which stocks or futures are bought or sold and held for an extended period of time.

Order Validity Types

What is a Good till Day Order (GTD)?
A pending trade order that expires at the end of the trading day if it is not triggered.

What is a Good till Cancelled Order (GTC)?
A pending trade order that will remain valid unless cancelled by the trader.

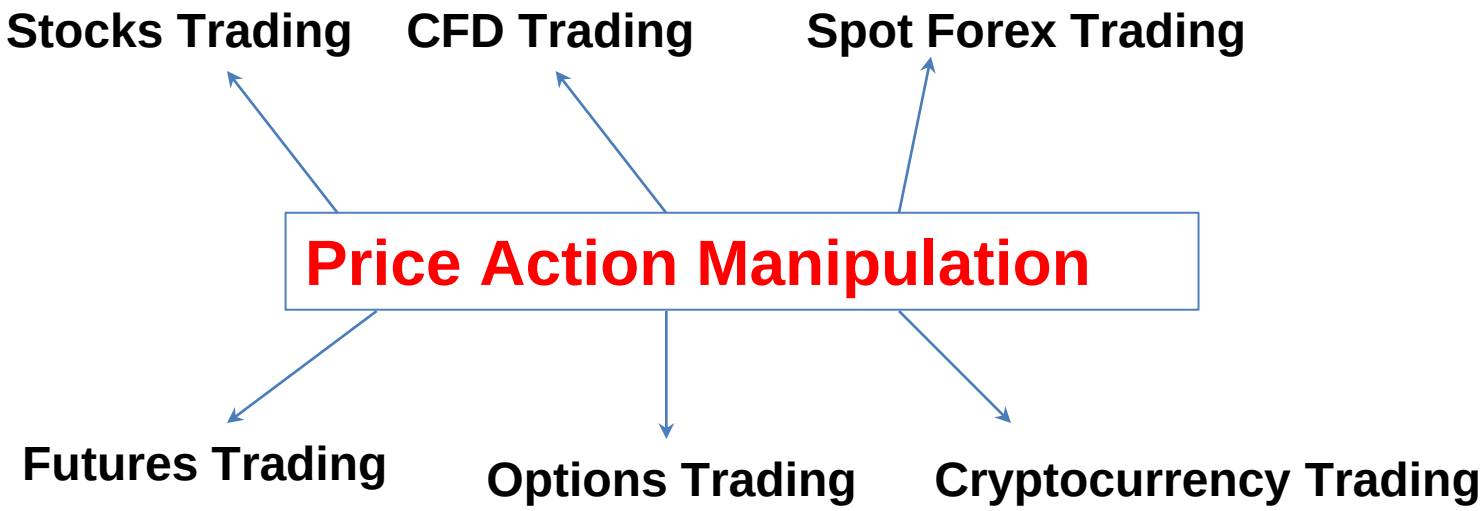
Other type of Trading Methodology

What is Fundamental Analysis?
A method of analysing the prospects of a stock or futures by way of accepted accounting measures such as earnings, sales, seasons and cycles etc.

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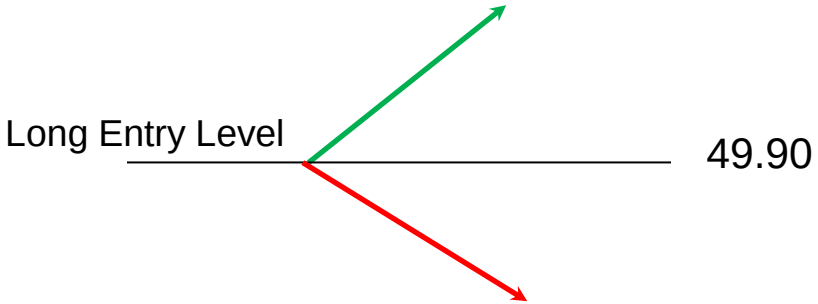
Directional Trading – Establish view in multi-assets



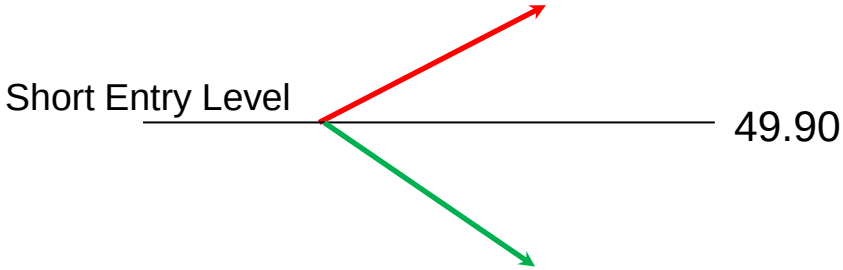
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- The **long** position is a trading position entered by the trader to **profit** from a **rise** in price of the underlying asset.



- The **short** position is a trading position entered by the trader to **profit** from a **decline** in price of the underlying asset.



What is Bearish?
An opinion expressed by the trader that the market or asset price will drop or decline.

What is Bullish?
An opinion expressed by the trader that the market or asset price will rise or appreciate.

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How to make money from the market?



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